A startup ecosystem beyond the big cities

A hardware prototype assembled in a Gorakhpur dorm room once ended with a one-way ticket to Bengaluru. For years, Uttar Pradesh watched ambitious young engineers and product designers migrate to established technology corridors, effectively educating high-end talent only to export it elsewhere. To reverse this brain drain and turn the state into an active launchpad for homegrown enterprises, the state cabinet rolled out the New Startup Policy (July 2026). This framework represents more than administrative support; it reflects an aggressive cultural pivot within governance. Aligning with Prime Minister Narendra Modi's national mission to build an indigenous, decentralized digital economy, Chief Minister Yogi Adityanath has systematically dismantled bureaucratic friction. The state machinery is deliberately repositioned to operate with the agility of venture capital, replacing early-stage financial anxiety with structured institutional backing. Building a company burns capital long before the first invoice clears. The July 2026 framework tackles this early mortality rate head-on. The state provides founders with a direct monthly sustenance allowance of ₹20,000 for up to two years, buying vital runway. As concepts move toward tangible execution, prototype grants provide up to ₹10 lakh, while seed funding extends up to ₹15 lakh. For complex deep-tech ventures, seed capital scales to ₹30 lakh, backed by patient capital provisions reaching ₹40 crore. To keep early-stage capital flowing without bureaucratic red tape, a dedicated ₹1,000 crore Fund of Funds deploys capital through professional daughter funds. The strategy is intentionally engineered to decentralize innovation. Recognizing the unique unit economics of non-metro regions, the policy awards a 50 percent incentive boost to qualifying startups in Purvanchal and Bundelkhand. Ground-level data reflects this outward expansion. According to figures reported by Invest UP and the UP Startup Mission, the state now has over 24,000 recognized startups across all 75 districts. Notably, a substantial share of these ventures originates from Tier-II and Tier-III cities, signaling that tech entrepreneurship is no longer confined to the National Capital Region. Nearly 90 recognized incubators operate across the state, anchored by specialized Centers of Excellence focused on artificial intelligence, machine learning, drones, and medical technology. The ultimate target extends far beyond corporate formation. Incubating thousands of early-stage enterprises creates serious economic scale, translating into more than one lakh jobs reported across the ecosystem. By underwriting the financial risks of innovation, Uttar Pradesh ensures its youth have the capital, infrastructure, and institutional backing to build global companies without leaving home.



Yogi Adityanath
Chief Minister, Uttar Pradesh

Narendra Modi
Prime Minister of India

ECOSYSTEM BENCHMARKS

* **Early-Stage Runway:** ₹20,000 monthly sustenance, ₹10 lakh prototype grants, and up to ₹15 lakh in seed capital.
* **Deep-Tech Support:** Up to ₹30 lakh in seed funding and up to ₹40 crore in patient capital, backed by a ₹1,000 crore Fund of Funds.
* **Regional Penetration:** Over 24,000 recognized startups across 75 districts, with a significant share based in Tier-II and Tier-III cities.
* **Youth Employment:** More than one lakh jobs reported across the startup ecosystem.

